MODULE 03 · CASE STUDY 13 · PRE-READ FOR CLASS 13

# Two Cases: The Conversation Itself

*Go and Sit in Their House · Two Guides for the Same Company*

**READ THIS BEFORE CLASS**

There are two cases in this document and the next class covers both. The first follows two founders who flew to New York because a mentor told them to stop staring at their laptops, and three founders in Delhi who went and talked to plumbers. The second follows one of India's largest internet companies and a glue company from 1959, and asks why ten questions produced a list of features nobody needed while ten different questions, put to the same people, produced something else entirely.

Both cases contain real conversations written out line by line. Those are the pages that matter. No frameworks, no definitions, nothing to memorise: four companies, two transcripts, two lists of questions and the numbers underneath them.

| 2 | 30–40 | 10 |
|---|---|---|
| Cases | Minutes to read | Questions to bring |

*Zenith School of AI · Customer Discovery · Semester 1*

# CASE A

## Go and Sit in Their House

*Airbnb in New York, Urban Company in Delhi, and one student who is owed ₹800*

**READING TIME:** 15–20 minutes

**HOW TO READ THIS CASE**

Most of this case is a story about two companies. One part of it is not, and that part is the reason to read carefully. Section 6 contains two conversations with the same student about the same subject, run by two different people, and they end up in completely different places.

Do not skim them. Read both slowly, out loud if you can, and mark the exact line where the first conversation goes wrong. Then ask yourself the awkward question this whole case is built around: the second person asked far less than the first. How did they learn so much more?

### 1 The Advice That Sounded Too Obvious

In 2009 Airbnb was not working. Brian Chesky and Joe Gebbia had a website where people could list a spare room, some listings existed, and almost nothing was happening. They were doing what founders in that position do: sitting in front of laptops in San Francisco, looking at numbers that were not moving, and adjusting things.

Their mentor at Y Combinator, a well-known programme that backs early startups, was Paul Graham. He gave them an instruction that is now among the most quoted pieces of advice in the technology industry and was, at the time, mildly insulting in its simplicity. Most of your listings are in New York. You are in San Francisco. Go to New York and meet them. Not call them. Not email a survey. Get on a plane, go to their apartments, and sit in their living rooms.

Almost everyone who hears this agrees it is good advice, and almost nobody does it. That is not laziness. Going to somebody's house feels unscientific. A survey gives you two hundred responses and a percentage. Sitting in one person's flat gives you one person's opinion, and one is a terrible sample size. Founders skip this step because it feels like the amateur version of research.

**WORTH PAUSING ON**

Before you read what happened in New York, write down one thing you think two founders could learn by sitting in a stranger's flat that two hundred survey responses could not have told them. Keep your answer. You will need it in class.

### 2 Airbnb: What Two Founders Found in Strangers' Living Rooms

So they went. Over a period of weeks they visited the people who had listed their homes in New York, one at a time, in person. They stayed in some of the properties. They sat with hosts and talked about how the whole thing felt. They also met guests: people who had actually paid to sleep in a stranger's home, which in 2009 was a strange thing to do and which almost nobody in the technology press believed would ever become normal.

What they found were not features. They were feelings attached to specific moments.

The first was the anxiety at the point of booking. A guest is about to send money to a person they have never met, for a place they have never seen, in a city they may not know, with no institution standing behind the transaction. That anxiety has a shape and a timing: it peaks in the minutes before payment. No amount of improving the website's design touches it, because it is not a problem with the website.

The second was what happened on arrival, when the anxiety resolved. Guests described walking in and finding that it was a real home, better than a hotel room in a way they had not expected. That specific relief turning into delight was the thing that made people come back.

The third finding is the one everybody remembers, and it came from looking rather than asking. The photographs on the listings were bad. Hosts had taken them on phones, in poor light, showing rooms at unflattering angles, and a guest who was already anxious about sending money to a stranger was looking at a dark, blurry photograph and finding nothing in it to reassure them. So the founders borrowed a camera and went round photographing the apartments properly themselves. Listings with good photographs performed dramatically better. That single act became a company-wide programme of professional photography, and it is the origin of a great deal of what Airbnb looks like today.

No host would have listed 'my photographs are bad' as a problem: if they had known, they would have taken better ones. No guest would have said 'improve the photography', because guests do not think about what a seller should do. The founders only saw it because they were standing in the flat, holding the listing in one hand and looking at the room with the other.

## 3 Urban Company: The Problem Every Household Knows

Urban Company, originally called UrbanClap, was founded in 2014 in Delhi by Abhiraj Singh Bhal, Varun Khaitan and Raghav Chandra. Bhal and Khaitan had been at IIT Kanpur. All three had already started and shut down earlier ventures, which matters: founders who have failed once tend to be much more willing to check whether an idea is real before they build it.

The category they chose was home services: plumbers, electricians, carpenters, beauticians, cleaners. On the customer's side the problem is one every Indian household will recognise. You need a plumber. You ask a neighbour, or a cousin, or the building's watchman. Somebody gives you a number. The person may or may not answer, may or may not come, may or may not be any good. The price is decided at the end, after the work, when you have no bargaining power at all. There is no price list, no way to check quality in advance, and nobody to complain to. The whole category ran on word of mouth and hope.

Any founder can see that much from their own life, and this is where most of them stop and start building an app that lists plumbers. The Urban Company founders did something less common. Before launching, they spent serious time talking to the service professionals as well as to the customers.

## 4 What the Plumber Said

What the professionals described was a different problem from the one the customers described.

A plumber's work came to him through middlemen and contractors who took a cut and controlled access to jobs. His income was unpredictable and thin. He had no way to build a reputation that travelled with him, because a satisfied customer's goodwill stayed with the contractor rather than with him. On a typical bad day he might have three jobs booked through two different contractors. The second one over-ran because the previous customer had not bought

the right fittings. He was paid the same whether he did the job well or badly, and nobody would ever know which it had been.

These were not people in the founders' social circle. They were not easy to find, they had little reason to trust somebody asking questions, and a weekday hour spent talking was an hour not earning. Talking to them meant going where they were, at times that suited them, which usually meant early morning or late evening.

> **HOLD THIS THOUGHT**
>
> Before you read on, do one thing. Write down what you would build if the only interviews you had were with customers. Then write down what you would build if you had heard the plumber too. If your two answers are the same, read Section 4 again.

Here is what Urban Company actually built. It trained the professionals. It set prices and published them before the job, so the awkward negotiation at the end disappeared. It handled the payment. It attached ratings to the individual professional rather than to an agency. And it made sure that a higher rating led to more work and more income for that individual.

## 5 The Numbers: Ten Years Later

Airbnb's photography programme began with two founders and a borrowed camera, about as small and slow an activity as exists. The company it belongs to became one of the largest travel businesses in the world, though that involved a decade of other decisions too. What is worth noticing is what those first few weeks cost and what they produced: a few weeks of travel and conversation led to a change that measurably improved every listing it touched, at a point when the company had no other idea what to do.

Urban Company's numbers are more recent. One term first: **operating revenue** is the money a company earns from its actual business, before anything else is added or taken away.

| URBAN COMPANY, FY25 | FIGURE |
|---|---|
| **Operating revenue** | About ₹1,144.5 crore, up roughly 38% |
| **Net profit** | About ₹240 crore, against a loss of around ₹93 crore the year before |
| **...of which a one-time tax credit** | About ₹211 crore. Profit before tax without it: about ₹28.6 crore |
| **Transacting users** | Around 6.8 million |
| **Active service partners** | About 48,000 a month on average |
| **Where** | 51 Indian cities, plus the UAE and Singapore (overseas revenue about ₹147 crore, up 64%) |
| **Share of transaction value from repeat customers** | Around 82% |
| **Average monthly earnings per service partner** | About ₹26,400, up around 16% year on year |
| **Average customer rating** | 4.81 out of 5 |

Be careful with the profit line. Most of the jump from a ₹93 crore loss to a ₹240 crore profit came from a tax credit, an accounting item, not from customers or plumbers. The last three rows are the ones to look at together, and to hold next to what the plumber said in Section 4.

## 6 The Same Conversation, Run Two Ways

Everything above is about *who* to talk to. What follows is about *how*. Both conversations below are with the same student, about the same subject. Both interviewers are trying hard.

**The first conversation.**

| | |
|---|---|
| **Interviewer** | So, we're building an app that helps students split expenses in hostels. Don't you find it really annoying when people don't pay you back? |
| **Student** | Yeah, definitely, it's annoying. |
| **Interviewer** | Right, exactly, that's what everyone says. So would you use an app that tracked all of it automatically and sent reminders? |
| **Student** | Yeah, that sounds useful actually. |
| **Interviewer** | And what features would you want in it? |
| **Student** | Um, maybe like... notifications? And a way to see who owes what? |
| **Interviewer** | Perfect, that's exactly what we're building. Would you pay something like fifty rupees a month for it? |
| **Student** | Yeah, fifty is fine, that's nothing. |
| **Interviewer** | Great. Thanks so much, this was really helpful. |

The first interviewer walks away believing four things: the problem is real, the solution is wanted, the features are right, and the price is acceptable.

> **WORTH PAUSING ON**
>
> Before you read the second conversation, go back and mark the single line where you think the first one stopped producing anything useful. Write the line down. Most people pick a line later than the one the class will argue for.

**The second conversation.**

| | |
|---|---|
| **Interviewer** | Tell me about the last time money came up between you and the people you live with. |
| **Student** | Uh... I guess last month, with the electricity bill. |
| **Interviewer** | Walk me through it. What actually happened? |
| **Student** | So the bill came, it was around ₹2,400, and I paid it because I was the one at home. Then I put it in the group and two of them sent money and the third one didn't. |
| **Interviewer** | And then? |
| **Student** | Nothing really. I didn't say anything for like a week. |
| **Interviewer** | Why not? |
| **Student** | It felt weird to ask. It's only ₹800. |
| **Interviewer** | ... |
| **Student** | Also he's kind of the one who decides stuff in the group. Like if I'd made it a thing about ₹800 I'd have looked cheap. |
| **Interviewer** | Say more about that. |
| **Student** | I don't know. He's got more money than the rest of us, so if I chase him for it, it feels like I'm the poor one. It's easier to just eat it. |
| **Interviewer** | How many times has that happened? |
| **Student** | Honestly? Probably four or five times this year. |

Read both again. Count the words each interviewer said. Notice what the second one did at the moment the student said 'it's only ₹800'. Notice what the first one said before the student had said anything at all.

## 7 The Question This Case Sets Up

Three sets of founders in this case learned something that nobody would have told them if asked directly. No host would have said 'my photographs are bad'. No customer could have explained why plumbers were unreliable. And the student who is owed ₹800 would never have volunteered, in answer to 'don't you find it annoying?', that the real reason he stays quiet is how he would look in front of the richer boy in his group.

The first interviewer in Section 6 would build an app that sends reminders. Think carefully, before class, about what a reminder sent by the student, with his name on it, would do to his problem. And then about what the second interviewer actually did that the first did not. It was not very much. That is what makes it hard.

# CASE B

## Two Guides for the Same Company

*Flipkart's feature requests, and the carpenter who could not describe his own work*

**READING TIME:** 15–20 minutes

**HOW TO READ THIS CASE**

The centre of this case is Section 2, which contains two full lists of interview questions, written out one by one. Do not skim it. Read the first list and, before you read the second, cover the page and write down what you think a hundred customers would answer to each of those ten questions. Then read the second list and do the same.

The difference between your two sets of imagined answers is what the class is about. You will feel it far more sharply if you predict it yourself than if somebody tells you.

### 1 Flipkart: A Company Drowning in Requests

Flipkart was founded in October 2007 by Sachin Bansal and Binny Bansal (not related, both IIT Delhi graduates, both former Amazon employees) out of a two-bedroom flat in Koramangala, Bengaluru. It began by selling books and became, over about a decade, the company that taught a very large part of India to buy things online at all.

The moment that matters here sits in the mid-2010s. In October 2014 the company ran the first Big Billion Day. It did around a hundred million dollars of sales in ten hours and was, at the same time, a public embarrassment: the site buckled, items went out of stock, prices moved, and much of the next morning's coverage was about customers who could not complete a purchase. A year later the sale was made exclusive to the mobile app. The company was in a period of intense attention to the experience of actually buying something, with enormous amounts of customer feedback arriving from every direction.

When you ask a large number of customers what they want, you get requests, because a request is what a person produces when asked what they want. The requests were sincere and specific and they arrived in volume: better filters, more photographs, more detailed specifications, a faster checkout, more sorting options, comparison tools. Every one of those is a reasonable thing to want.

The difficulty is what happens when you build them. Every filter is another control on the screen. Every specification is another block of text. Every comparison tool is another decision the customer now has to make. The product becomes more capable and more tiring at the same time, and the number that matters, the share of people who arrive and actually finish a purchase, does not go up. It is a disorienting position for any company: doing exactly what customers asked for, doing it correctly, and watching the result get worse.

### 2 The Two Guides, Written Out

An interview guide is simply the list of questions you plan to ask, in the order you plan to ask them. Here is the first one: the natural one, the one almost anybody would write. Read all ten before you judge them.

### Guide One

| | |
|---|---|
| 1 | How often do you shop online? |
| 2 | Which apps do you use most? |
| 3 | On a scale of one to five, how satisfied are you with our app? |
| 4 | What features would you like us to add? |
| 5 | Do you find the filters useful? |
| 6 | Would you use a comparison tool if we built one? |
| 7 | Is price the most important factor for you? |
| 8 | How important are customer reviews to you? |
| 9 | What do you think of our checkout process? |
| 10 | Is there anything else you would like to see? |

> **STOP HERE**
>
> Cover the page below. For each of the ten questions above, write down what a typical customer would say. Then circle the answers a product team could actually act on tomorrow morning.

**Guide Two**: the same customers, the same product, the same month.

| | |
|---|---|
| 1 | Tell me a bit about how you usually shop: where do you buy things, and what kinds of things? |
| 2 | Tell me about the last thing you bought online. What was it, and when? |
| 3 | Walk me through what you actually did that day, from the first moment you thought about buying it. |
| 4 | What made you pick that particular one? |
| 5 | Now tell me about a time you started shopping and did not end up buying anything. |
| 6 | Walk me through that one. Where in the process did you stop? |
| 7 | What were you thinking at the moment you closed the app? |
| 8 | What happened after that: did you buy it somewhere else, or later, or not at all? |
| 9 | How often does that happen to you in a month? |
| 10 | When it happens, how long have you usually spent before you give up? |

There is not a single question about features in Guide Two. There is no mention of the product's design. Nobody is asked what they want. Both guides were put to the same customers about the same product in the same month. No new people were interviewed and no new data was found. The only difference is ten questions.

> **HOLD THIS THOUGHT**
>
> Now do the same for Guide Two: write what a typical customer would say to each question, especially 5 to 8. Then think about the last time you yourself put something in a cart and closed the app without buying. What was happening in the minute before you closed it? What happened in class will depend on what you and your classmates actually remember doing.

## 3 Pidilite: A Customer Who Buys Nothing

The second half of this case is much older, and comes from a company most Indians have used without ever knowingly buying from it. Pidilite Industries was founded in Mumbai in 1959 by Balvant Parekh, who had trained as a lawyer and never practised, worked as a clerk in a timber merchant's office, and started out making pigments before moving into adhesives. The product that built the company is Fevicol.

Look at who is involved when glue is used in an Indian home.

| PERSON | THEIR ROLE |
|---|---|
| **The household** | Pays for the adhesive. Never chooses it. |
| **The shopkeeper** | Stocks it. Has no view on it beyond his margin, the share of the price he keeps. |
| **The carpenter** | Chooses it. Does not pay for it. Appears in no sales ledger under his own name. |

A company that thinks of its customer as whoever the money comes from will never talk to the carpenter. Pidilite built six decades of brand-building, distribution and product decisions around him.

But the carpenter has a particular and inconvenient property: he cannot tell you why he chooses what he chooses. Ask him 'why do you use this adhesive?' and you will get 'it is good' or 'it works'. Ask him 'what do you look for in an adhesive?' and you will get 'quality'. These are not evasions and they are not laziness. It is what happens when you ask any highly skilled manual worker to explain their craft: the knowledge lives in their hands rather than in sentences, and nobody has ever asked them before.

> **WORTH PAUSING ON**
>
> You have one morning with this carpenter. You are not allowed to ask him anything about adhesive. Write down the first three things you would ask him instead. Then ask yourself: which of your three would produce a number?

## 4 The Numbers: What Each Company Is Worth

One definition first. **Operating profit margin** is operating profit divided by sales, as a percentage. It tells you how much of every ₹100 of sales is left after the cost of making and selling the product, before interest and tax. For context, a well-run Indian consumer business typically lands somewhere in the low double digits: 10 to 15%.

| PIDILITE | FY24 | FY25 |
|---|---|---|
| **Sales** | About ₹12,383 crore | About ₹13,140 crore |
| **Operating profit** | About ₹2,708 crore | About ₹3,011 crore |
| **Operating margin** | About 22% | About 23% |
| **Net profit** | About ₹1,747 crore | About ₹2,096 crore |

This is a company selling glue: a product with no special technology, nothing that makes it hard for a customer to switch, and cheaper unbranded rivals on every shop shelf. It earns about twenty-three rupees of operating profit on every hundred rupees of sales.

Now the carpenter's side of one job. A tin of adhesive costs a few hundred rupees. A piece of furniture might cost ₹18,000 to make, and the carpenter might be paid about ₹4,000 for his labour on it. A cheaper, unbranded glue might save him about ₹80 on that job. Almost no carpenter takes that saving.

Flipkart's most recent reported figures show revenue of roughly ₹82,787 crore and a net loss of about ₹5,189 crore. Walmart has held a controlling stake since 2018, currently around 85%, having paid about sixteen billion dollars for it.

Read these two companies honestly. Flipkart is about six times larger, operates in a category where the economics are brutal for everyone, and is losing money. Pidilite is a fraction of the size and very profitable. Neither fact is caused by how either company asks questions, and anyone who concludes that better questions produce better margins has drawn a line that is not there.

## 5 The Question This Case Sets Up

Two companies, fifty-five years apart, with about as different a customer as it is possible to have: an anonymous shopper on a phone at eleven at night, and a carpenter on a site in a small town. One was drowning in answers it could not use. The other had a customer who could not answer at all.

Look again at Guide Two, not at the individual questions but at the order they come in. Where does it start? Where does it go at question 5, and why not at question 1? What do questions 9 and 10 do that nothing in Guide One ever attempts? Then ask whether the same list, rewritten for a carpenter, would have got you further than 'it is good'. Come to class with a view.

# BEFORE YOU COME TO CLASS

> **HOW TO USE THIS PAGE**
>
> Ten questions, five on each case. A line or two each is enough. Nothing here is collected or graded, but you will be asked for your answers in the room, and the questions are designed so that a wrong answer is more useful than no answer.
>
> There are no model answers at the back of this document. That is deliberate.

## On Go and Sit in Their House

1. **In the first hostel conversation, at which exact line was the interview over?** Write the line down word for word, and say in one sentence why nothing after it counts.
2. **List every fact the second interviewer learned that the first one never will.** Then count roughly how many words each interviewer spoke. What do you notice?
3. **No Airbnb host would ever have written 'my photographs are bad'.** Pick a place you use every week: a canteen, a hostel mess, a shop, a college office. Name one problem there that nobody using it would ever mention in a feedback form, and say who you would have to watch or talk to in order to find it.
4. **Think of a service you used in the last month**: a delivery, an auto, a repair, a canteen order. What would a customer complain about? Now guess what the person doing the work would say is the real reason it happens. Which of the two would you rather build a business on?
5. **Urban Company's profit jumped from a ₹93 crore loss to a ₹240 crore profit.** Which one number in Section 5 would you trust most as proof that listening to the plumbers was right, and which would you trust least? Defend both choices.

## On Two Guides for the Same Company

6. **Go through Guide One and write the answer a typical customer would give to each question.** How many of your ten answers could a product team act on the next morning? Name the question you think is the most useless and the one you think is the most dangerous.
7. **Remember the last time you filled a cart and closed the app without buying.** Write down what happened in the last minute before you closed it, as honestly as you can. Would any of it have come out if somebody had asked you 'what features would you like us to add?'
8. **Write three questions for the carpenter that never mention adhesive.** Put them in the order you would ask them. Which of your three is most likely to end with him telling you a number?
9. **A cheaper glue saves the carpenter about ₹80 on a job that pays him about ₹4,000.** Why does almost nobody take the saving? Answer in rupees and consequences, not in words like 'trust' or 'quality'.
10. **Somebody says: 'Pidilite asks better questions than Flipkart, and that is why it makes money and Flipkart does not.'** Argue against this in two sentences. Then say what, if anything, the two cases do have in common.

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*Bring your ten answers and at least one thing from these two cases that you think is wrong or overstated. Both cases are written to make a point, and points that go unchallenged are worth very little.*